

Submission ACCT1-QUIZ-SUB02

Question ACCT1-QUIZ-Q01

work / setup:

1. Dr Cash 531; Cr Service Revenue 531
2. Dr Supplies 466; Cr Accounts Payable 466

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Cash 531/Cr Revenue 531; Dr Supplies 466/Cr A/P 466; A=L+E remains balanced plus 1

Question ACCT1-QUIZ-Q02

work / setup:

1. Monthly revenue= $753/6=126$
2. Dr Unearned Revenue 126; Cr Service Revenue 126

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Unearned Revenue 126; Cr Revenue 126; liability= 628 plus 1

Question ACCT1-QUIZ-Q03

work / setup:

1. Assets = Liabilities + Equity
2. Equity= $1627-562=1065$

crossed-out arithmetic: [smudged]

FINAL (maybe): equity=\$1065; assets=liabilities+equity plus 1

Question ACCT1-QUIZ-Q04

work / setup:

1. Current ratio= $1709/1085=1.58$

crossed-out arithmetic: [smudged]

FINAL (maybe): current ratio=1.58; assets exceed liabilities if ratio>1 plus 1

Question ACCT1-QUIZ-Q05

work / setup:

1. Cash receipt before performance does not by itself create earned revenue.

crossed-out arithmetic: [smudged]

FINAL (maybe): record unearned revenue first; recognize revenue as performance occurs plus 1